11 Lisa bought a house.

The value of the house increased by 1.5% each year for 2 years.
At the end of 2 years, the value of the house was £123 627

Work out the value of the house when Lisa bought it.

Yearly multiplier = 1 + 1.5 ÷ 100 = 1.015

Original value = £123627 ÷ 1.015^2

1 mark
Reverse both increases.

= £120000

1 mark
£120000.

£.....

(Total for Question 11 is 2 marks)